

CAPITAL MARKETS

Balbec's \$930 Million Fund Shows Private Credit Is Building a Permanent Real Estate Debt Machine

The fund's size and structure signal that non-bank lenders are no longer opportunistic—they are institutionalizing CRE debt.

July 17, 2026 · Propmodo · 3 min read

A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in Balbec Capital's \$930 million fund close is not the total. It is the fact that the firm simultaneously issued a \$600 million residential mortgage-bond securitization this week. Balbec is not just raising capital to hold loans. It is raising capital to originate, warehouse, securitize, and recycle. That is not a fund strategy. That is a balance sheet in formation.

Private credit has spent the last decade filling gaps left by regulated banks. But the gap-filling phase is ending. What Balbec's seventh flagship fund signals is something more permanent: a non-bank lending platform that can originate, hold, securitize, and re-lend across residential and commercial mortgage debt in two continents. The \$930 million is a first close. The firm's earlier vehicles eventually grew to \$1.7 billion. The trajectory matters more than the snapshot.

Balbec IGC VII will invest in performing and non-performing residential mortgage loans, mortgage servicing rights, consumer non-performing loans, commercial mortgage and bridge loans, and restructured payment plans across the US and western Europe. That breadth is not accidental. It allows the firm to rotate capital between asset classes as relative value shifts, rather than being locked into a single strategy when a sector reprices.

The commercial real estate component is the part that should focus CRE owners and lenders. Balbec launched its first commercial real estate collateralized loan obligation in March and acquired UK property lender Funding 365 in June. The CLO gives Balbec a public-market exit for commercial mortgage exposure. The acquisition gives it origination infrastructure in a market where bank retreat has been especially pronounced. Together, they create a closed loop: originate, securitize, recycle capital, originate again.

This model has implications for how commercial real estate debt gets priced and distributed. When a non-bank lender can securitize its commercial mortgage production, it is no longer constrained by the size of its own balance sheet or the patience of its limited partners. The CLO market becomes a release valve. The fund becomes a warehouse. The securitization becomes the exit. That changes the economics of lending because the lender is no longer holding the loan to maturity. It is holding the

loan until the market will buy the risk at a spread it can live with.

The banks have not vanished from real estate lending. But they have become more selective about which loans they keep on balance sheet and which they distribute. Balbec's model suggests that private credit is not just taking the loans banks will not make. It is building the infrastructure to make loans that banks used to make, securitize them, and do it again at scale. That is a structural shift, not a cyclical one.

The timing is not accidental. Commercial real estate debt maturities are mounting. Banks face higher regulatory costs and capital constraints. The post-2008 regulatory framework that pushed asset-based lending out of the banking system created the opening. Balbec is walking through it with a platform designed to handle both performing and non-performing debt. That dual mandate matters because the next few years will produce both. Loans that can be refinanced at today's rates will be refinanced. Loans that cannot will need restructuring, and the firms that can hold both outcomes will have an advantage.

For CRE owners approaching a maturity, the implication is straightforward. The lender you refinance with may not be a bank. It may be a private credit platform that originates, securitizes, and services its own loans. That changes the relationship. A bank lender has a branching network, a deposit base, and a regulator. A private credit lender has a fund, a CLO warehouse, and a securitization desk. The underwriting criteria will differ. The speed of execution may differ. The willingness to work through a temporary cash-flow shortfall will almost certainly differ.

For other private credit firms, Balbec's move raises the bar. A firm that can securitize its commercial mortgage production has a cost of capital advantage over a firm that cannot. The CLO market is not equally accessible to every lender. It requires scale, track record, and the ability to structure and place bonds. Balbec now has all three. Firms that lack them will need to partner, consolidate, or accept a narrower lending margin.

The \$930 million is not the story. The story is that Balbec is building a machine that can originate, securitize, and recycle real estate debt across two continents and multiple asset classes. The fund is the

fuel. The CLO is the engine. The question for the market is which other private credit firms will build the same machine, and how quickly the banks will respond when they do.

SOURCES

— Propmodo —

<https://propmodo.com/private-credit-manager-balbec-raises-930-million-for-mortgage-and-asset-debt-strategy/>

LIGHT TOWER GROUP